

TATA MOTORS PASSENGER ELECTRIC MOBILITY LIMITED - STATUTORY AUDIT NOTES

Note 18: Capital Expenditure & Battery Cell Sourcing Commitments

The Company has entered into long-term irrevocable supply agreements for lithium iron phosphate (LFP) and nickel manganese cobalt (NMC) battery cells with Agratas Energy Storage Solutions. Total capital commitment under Phase 1 stands at INR 13,000 Crores across Gujarat and Sanand facilities. Liquidated damages for supply default are capped at 7.5% of annual purchase value.

Note 19: Government Subsidies & FAME-II Ineligibility Contingency

Receivables under FAME-II subsidy claim stood at INR 784.50 Crores as of March 31, 2024. Ministry of Heavy Industries initiated an audit regarding phased manufacturing program (PMP) localization norms. Management considers the entire sum recoverable and has not made any impairment provision.